SaaS Valuation Engine · Equity Research
US Software · Initiation of coverage

Adobe Inc. (ADBE)
1 November 2026

MATURE, PROFITABLE · INITIATING AT OVERWEIGHT

Adobe: The Market Is Pricing a Decline the Financials Do Not Show

We initiate on Adobe with an Overweight rating and a price target of $388, implying an expected return of 55.1% against a coverage-universe median of 5.8%. At $250.23 the shares discount annual revenue growth of -1.8%, while the company grew 10.5% in FY2025 with a 41.4% FCF margin. AI disruption is a real risk, but we think the current price more than reflects it.

1. The price implies shrinkage, the business is compounding

Our reverse DCF shows the share price embeds revenue growth of -1.8%, against the 9.6% starting growth in our model. Revenue has risen each year from $15.8B in FY2021 to $23.8B in FY2025, with annual growth between 10.2% and 11.5% over that period. We think the gap between implied and reported growth is too wide to persist absent visible deterioration.

2. Margins and cash generation lead the peer set

Adobe's FY2025 operating margin was 36.6% on a gross margin of 89.3%, and FCF reached $9.9B, a 41.4% margin well above the peer median of 25.9%. Its combined growth-and-margin score of 51.0% reflects that balance. Stock-based pay of 8.2% of revenue has stayed within the 6.8% to 8.9% range seen since FY2021.

3. A value multiple on a quality franchise

The stock trades at 4.1x EV/revenue, 10.2x EV/EBITDA and 9.9x P/FCF, against a peer median EV/revenue of 7.9x. Part of that discount is justified, as growth of 9.6% trails the peer median of 16.3%. In our view the multiple prices Adobe as a declining franchise rather than a slower-growing, highly cash-generative one.

ADBE share price and 12-month price target



Source: Yahoo Finance (daily close, split-adjusted); price target and scenarios from this model.

RATING
Overweight

PRICE TARGET	
12-month target	**$388**
Share price (2026-11-01)	**$250.23**
Expected return	**+55%**
Bull case	**$590 (+136%)**
Bear case	**$259 (+4%)**

KEY DATA	
Market cap	**$97.4B**
Enterprise value	**$97.0B**
52-week range	**$193–$358**
EV / revenue (CY25)	**4.1x**
EV / EBITDA (CY25)	**10.2x**
P / FCF (CY25)	**9.9x**
Revenue growth (CY25)	**10%**
FCF margin (CY25)	**41%**
Growth price implies	**-2%**

VALUATION	
DCF value	**$376**
Comps value	**$321**
WACC	**10.9%**
Terminal growth	**3.0%**

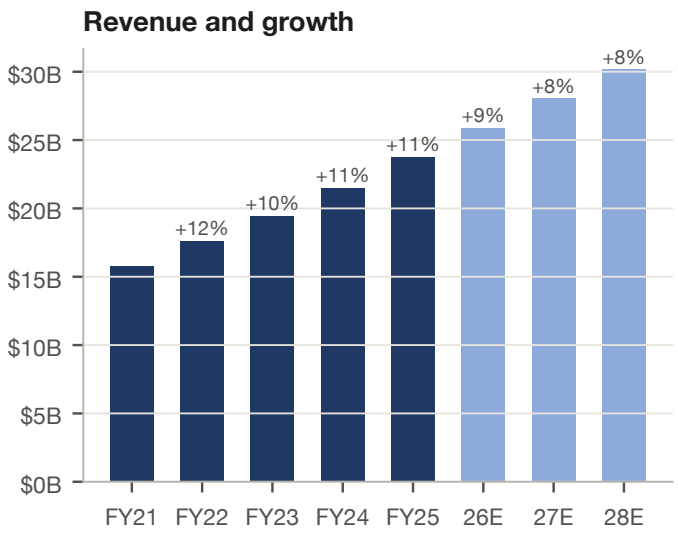
Business overview

Adobe sells creative, document and marketing software. For business professionals and consumers it offers the Acrobat family (free Reader, Standard, Pro and Acrobat Studio, with an AI Assistant add-on) and Adobe Express. For creative professionals it sells Creative Cloud Pro, bundling Photoshop, Illustrator, Premiere Pro, After Effects and the Firefly generative AI models, alongside Adobe Stock and Substance 3D. For marketing professionals it sells Adobe Experience Platform and applications including Real-Time CDP, Journey Optimizer, Experience Manager, Commerce, Marketo Engage, Workfront and GenStudio. Most products are licensed by subscription, with SaaS solutions sold on multi-year terms; Creative Cloud and Firefly plans include a monthly allotment of generative credits, and consulting is sold by subscription or by project. Distribution runs through a direct enterprise sales force, adobe.com and app stores, and resellers, integrators and OEMs. Fiscal 2025 reporting used three segments, which will be combined into a single segment from the first quarter of fiscal 2026.

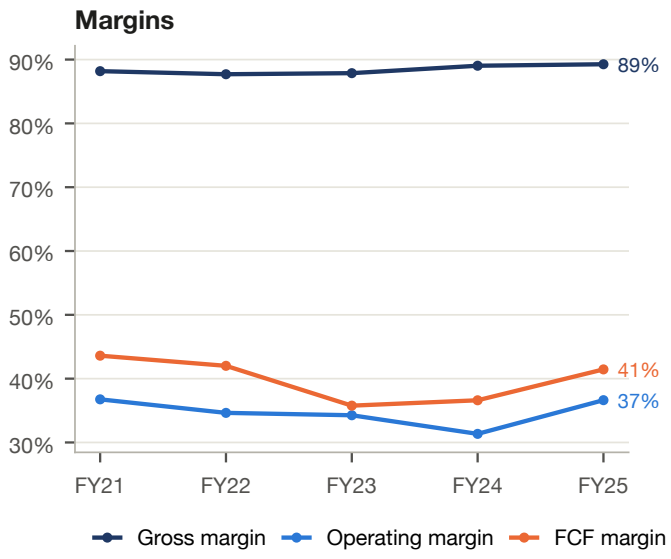
Financial summary

USD millions	FY21	FY22	FY23	FY24	FY25	26E	27E	28E
Revenue	15,785	17,606	19,409	21,505	23,769	25,887	28,023	30,152
growth	*n/a*	*+12%*	*+10%*	*+11%*	*+11%*	*+9%*	*+8%*	*+8%*
Gross margin	88%	88%	88%	89%	89%	–	–	–
Operating margin	37%	35%	34%	31%	37%	–	–	–
Free cash flow	6,882	7,396	6,942	7,873	9,852	n/a	n/a	n/a
FCF margin	*44%*	*42%*	*36%*	*37%*	*41%*	*n/a*	*n/a*	*n/a*
FCF after stock-based pay	5,813	5,956	5,224	6,040	7,910	8,615	9,326	10,034
margin	*37%*	*34%*	*27%*	*28%*	*33%*	*33%*	*33%*	*33%*
Stock-based pay % revenue	7%	8%	9%	9%	8%	–	–	–

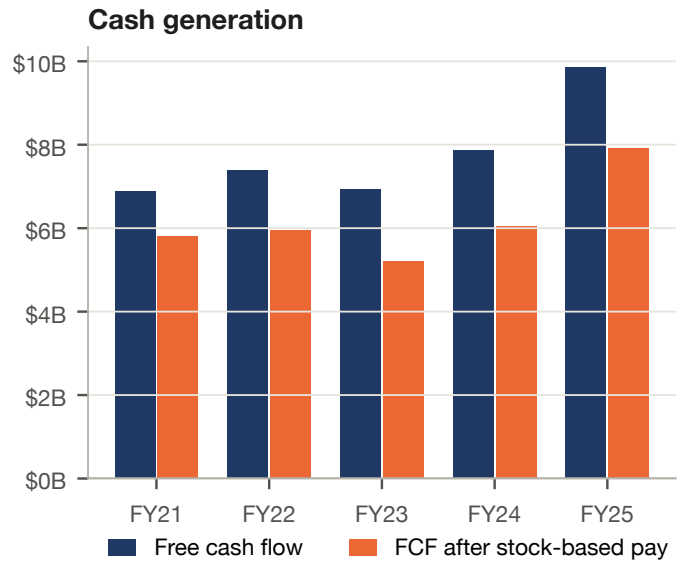
Actuals are fiscal years from 10-K filings (SEC EDGAR). Estimates (E, shaded) are calendar years from the DCF projection; estimated free cash flow is after stock-based pay, which the model treats as a cost. n/a: not in the SEC's standardized data.



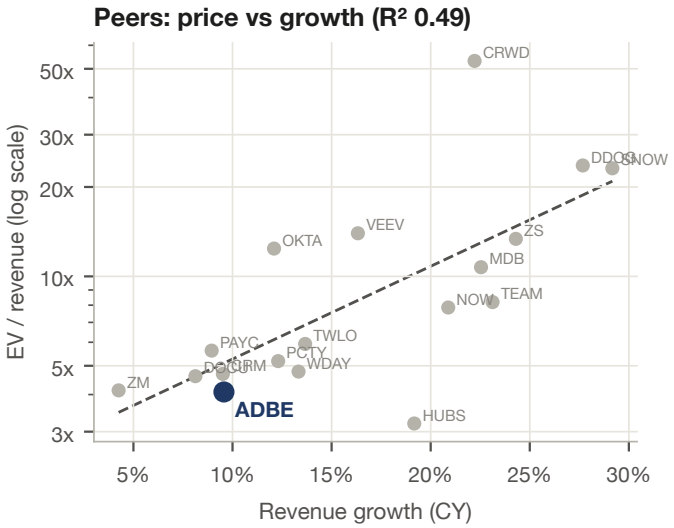
Source: 10-K filings via SEC EDGAR (fiscal-year actuals); model estimates (E, calendar years).



Source: 10-K filings via SEC EDGAR. FCF = operating cash flow - capex - capitalized software.



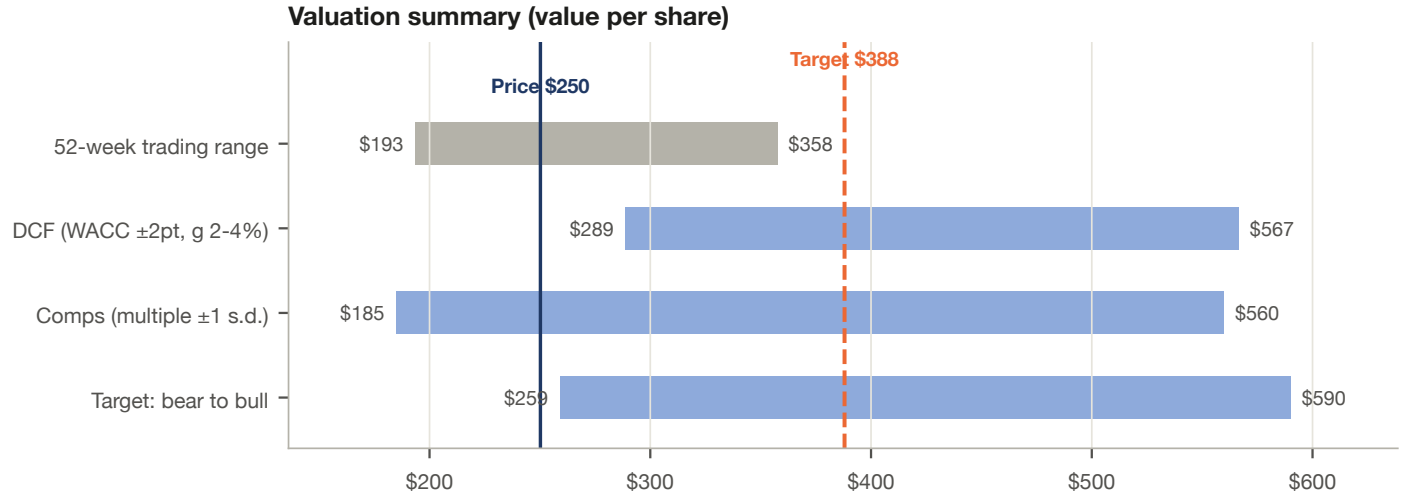
Source: 10-K filings via SEC EDGAR. A missing bar means capex is not in the SEC's standardized data.



Source: This model, calendar-year comps for the 18-company coverage universe.

Valuation and price target

Our target of $388 rolls forward a blended fair value today of $348.95, built from a DCF value of $376.48 and a comps-implied value of $321.43. The model does not flag the target as an outlier. The DCF uses a WACC of 10.9%, a cost of equity of 11.3% and terminal growth of 3.0%; terminal value accounts for 48.5% of DCF value, a moderate share that keeps the result anchored in nearer-term cash flows. The mature FCF margin of 33.3% sits below the FY2025 level of 41.4%, so the DCF already assumes some margin erosion from AI compute and pricing pressure. The comps leg should be read with caution: the peer regression of EV/revenue on growth has an R² of 48.9%, so much of the variation in peer multiples is unexplained and the comps value is noisy. Scenarios are asymmetric. The bear case of $259 still implies a 3.5% return, while the bull case of $590 implies 135.8%. The stock's trading range, with a low of $193.41 and a high of $357.53, shows that sentiment has recently pushed the shares well below our bear value.



Source: This model; Yahoo Finance for the 52-week trading range.

DCF sensitivity: value per share by WACC (rows) and terminal growth (columns)

WACC	2.0%	2.5%	3.0%	3.5%	4.0%
8.9%	$459	$480	$504	$532	$567
9.9%	$400	$414	$431	$450	$472
10.9%	$354	$365	**$376**	$390	$405
11.9%	$318	$326	$334	$344	$355
12.9%	$289	$295	$301	$308	$316

Bordered cell: base case. Blue: above today's price of $250.23; red: below.

Risks to our rating

AI-native competition across core franchises. The 10-K names AI-native and large-platform rivals in creation, documents and advertising. Prompt-based tools could reduce new-user acquisition, renewals and pricing, pushing growth toward the -1.8% the market already implies rather than the 9.6% we model.

Erosion of the skill-based moat. Adobe's premium pricing rests on professional tools that require expertise. AI that lets anyone create content weakens that necessity, and the company acknowledges its own AI features may not be adopted or monetized.

AI compute costs compress margins. In-house model development, third-party model licensing and inference costs could pull gross margin down from 89.3% and FCF margin below the 33.3% mature level we assume, which would lower the DCF value.

Lagged visibility on renewals and pricing. Almost all revenue is recognized ratably, so weaker renewals or price cuts would surface in reported revenue with a delay. This limits early warning and means our growth assumptions could prove stale before the data confirm it.

Community backlash and consumer-protection actions. The filing cites attrition tied to Adobe's AI stance and terms, and consumer-protection actions seeking civil penalties. Forced changes to subscription and cancellation practices could weigh on retention.

What would change our view

- Annual revenue growth decelerating materially from the 10.5% reported for FY2025 and trending toward the -1.8% implied by the share price.
- FCF margin declining toward or below the 33.3% mature level we assume, from 41.4% in FY2025, as AI compute costs scale without matching monetization.
- Stock-based pay rising above the 8.9% peak recorded since FY2021, which would signal weaker margin and FCF quality than reported.

Methodology

Price target. Fair value today blends a discounted cash flow value (50%) with a comparable-company value (50%); where the DCF is not meaningful, the comps value is used alone. The 12-month target rolls fair value forward over 12 months at the cost of equity less a dividend yield of 0%, rounded to the nearest dollar.

DCF. A two-stage model: 5 explicit years followed by 5 fade years in which revenue growth glides to a terminal rate of 3.0% and the free-cash-flow margin moves to a mature level of at least 25%. Stock-based compensation is deducted as a real cost. The discount rate is the WACC, with the cost of equity from CAPM (risk-free rate 4.3%, equity risk premium 5.5%, Blume-adjusted beta).

Comparables. ln(EV/revenue) is regressed on calendar-year revenue growth across the 18-company coverage universe (R^2 0.49). Each company's fair multiple comes from a line fitted on the other companies (leave-one-out), applied to its revenue and bridged to equity value per share.

Scenarios. Bull and bear cases shift the DCF's starting growth by ±5 points and its mature margin by ±5 points, and move the fair multiple by one standard deviation of the regression residuals (0.56 in log terms, a factor of 1.74).

Rating. Ratings are relative to the coverage universe: Overweight if the expected return beats the universe median (+6% at this date) by at least 15 points, Underweight if it trails by at least 15 points, otherwise Neutral. Targets implying a move beyond ±75% are flagged as model outliers rather than capped.

Narrative. Written by Claude Opus 5.5 from the model's figures, the company's latest 10-K (Item 1 and Item 1A) and a risk summary. Every number in the text was checked automatically against those sources; the rating and target were set by the model and given to the writer as facts.

Disclosures. This report was generated automatically by the SaaS Valuation Engine, an educational portfolio project. It is not investment research from a regulated firm and not investment advice; nothing in it is a recommendation to buy, sell or hold any security. Data: SEC EDGAR filings and Yahoo Finance market data as of 2026-11-01. Figures may contain errors; verify against the company's filings before relying on them.